

Third, in this type of long-term graph, it's very easy to overlook that we had a decade of almost flat performance. Take a moment and consider if you would really have stayed the course and kept trading every day, for ten years, without profits. That's 2,500 trading days of sideways performance. No matter how strongly you believe in your rules, ten years is a very long time to be in a drawdown. And, of course, if you are managing other people's money, your investors are unlikely to stay with you for that long.

But, sure, if you had stuck with these rules for this whole time, you would most likely have outperformed. In the long run, trend following has always performed remarkably well. Then there is always John Maynard Keynes's view on the long run. As he famously pointed out, in the long run, we're all dead anyhow.

Controlling the Risk Level

I mentioned in the previous section that it's very simple to create the illusion of a backtest profitability. In the backtesting world, we have the advantage of knowing the future. Much like Bill Murray in *Groundhog Day*, we can try and fail over and over, until we stumble upon a solution that works. We have all the time in the world to throw stuff on the wall until something sticks. Once we have that, we can simply dial the risk level up and down until we get extremely attractive returns.

This is a trap which most of us have fallen into at one point or another. Over the years, I have had hundreds if not thousands of enthusiastic young traders present their backtests, hoping for an investment. In all the years, I have never seen anyone present a backtest with poor results.

The focus of this book is not on the process of properly using backtesting tools for strategy development. For that, I would very much recommend the book *Systematic Trading* by Robert Carver. It's a subject which very much deserves its own book or two.

Depending on your background in trading, mostly if you come from the hobby trading side or the institutional side, you may think that the previous shown return of a bit under 16% per year is either very low or very high. Expectations on trading returns in general tend to vary substantially between the hobby segment and the industry crowd. The truth is that with backtests like this, you can make the return end up pretty much where you want it to, and that's why you should never trust a backtest that you haven't done yourself.